New Coke

Few global brands are as recognizable as Coca-Cola. The iconic white lettering on the red bottle is known worldwide; it is as closely associated with American culture as baseball and apple pie. In 2024, the Coca-Cola company was worth about $270 billion, making it the 36th most valuable company in the United States and among the 100 most valuable in the world (Murphy and Schifrin 2024). The Coca-Cola brand alone was worth over $100 billion (Statista 2024)—not surprising given the company's 140-year history.

For nearly all of those years, the recipe for the soft drink never changed—the recipe so valuable it is kept in a locked vault in the company's Atlanta headquarters. For one brief 10-week period in 1985, however, the original formula, along with the iconic logo, disappeared from grocery and convenience store shelves. For the first time in almost 100 years the company altered its core product, and New Coke hit store shelves everywhere.

The Cola Wars

Coca-Cola was invented by an Atlanta pharmacist in 1886. At the time, soft drinks were syrups that were mixed with carbonated water at soda fountains, which were popular in drugstores across the country. First sold as various sorts of healing elixirs, they gained popularity during the temperance movement—the movement to ban sales of alcohol. Dr Pepper was founded around the same time in Waco, Texas. In the late 1890s, Pepsi was founded in New Bern, North Carolina. (Moss 2018)

While known for their relentless emphasis on their core product—Coke—for many years, the Coca-Cola company was also an early innovator in marketing. Beginning in 1897, they were one of the first companies to mass distribute coupons that could be redeemed for free products, allowing customers a risk-free way to try Coke. When most soft drinks were still being mixed up at soda counters, Coca-Cola began bottling and distribution in 1899—an operational strength for which the company is still renowned today. They paid careful attention to branding, maintaining consistent and pervasive use of the iconic logo, as well as packaging, designing the contour bottle for which they would ultimately receive a patent (The Coca-Cola Company 2011).

Figure 1. Coca-Cola advertising during World War II
Ralf Liebhold / Alamy Stock Photo

But it was their decision to supply Coca-Cola to soldiers during World War II (at a price of just 5 cents a bottle) that ultimately created the beverage behemoth we know today. Coca-Cola's availability close to combat areas introduced it to a

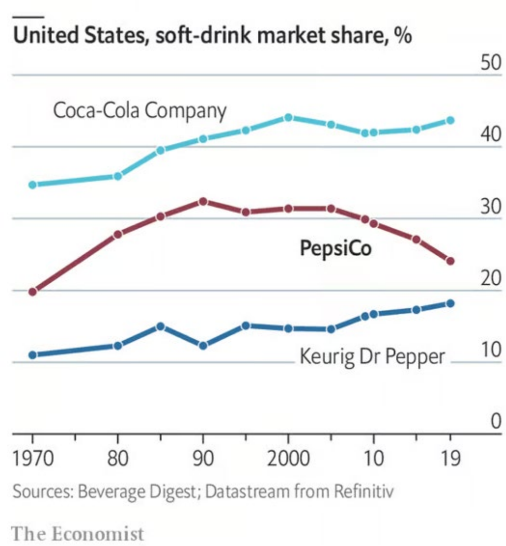

Figure 2. U.S. Soft drink market, 1970–2019

global audience and forever wed the brand to concepts such as freedom and patriotism (Fournier 2001). Figure 1 shows Coca-Cola's approach to advertising during World War II, with its appeal to patriotism.

By the mid-1960s, nearly one of every two soft drinks purchased in the U.S. was a Coke, a 50% market share. For Pepsi, meanwhile, the figure was only about 20%. But by the 1970s, Pepsi was beginning to catch up, as shown in the graph in Figure 2 (The Economist 2020).

While Coca-Cola had developed a loyal fan base among those who lived through the post–World War II era, younger Baby Boomers and Gen-Xers did not have the same affinity. Seizing the opportunity, Pepsi began one of the most famous marketing campaigns of all-time: the Pepsi Challenge.

Beginning in 1975, Pepsi had consumers participate in blind taste tests of both Coke and Pepsi, asking them which they preferred. The results, advertised for years in a variety of different television spots, had Pepsi declaring victory in the so-called "Cola Wars." More than half of all testers reported a preference for Pepsi. Many were professed Coca-Cola loyalists and were surprised by their own choice.

By 1977, Pepsi had overtaken Coca-Cola in grocery store purchases, and Coca-Cola executives were worried. Behind the scenes, their own research confirmed Pepsi's results (Schindler 1992). Though Coke still held the lead in market share overall, grocery store sales were a sign of slipping market dominance. Worse, Pepsi seemed to be leading with younger consumers in particular, which didn't bode well for the future. In 1984, Pepsi launched the "Choice of a New Generation" campaign, targeting Gen-Xers, who were mostly kids and teenagers at the time. The campaign centered on a television ad featuring Michael Jackson—the most popular singer in the world in the 1980s, particularly with younger consumers (Fournier 2001). Coca-Cola was quickly losing its edge.

New Coke

Coca-Cola took the taste-test challenge data seriously. How else could they beat Pepsi at their own game but by creating a superior product? In 1984, after years of experimentation, a new formula was ready. Best of all, in their own behind-the-scenes research, the product—dubbed "New Coke"—outperformed both original Coca-Cola and Pepsi. The market research team began a 2-year, $4 million research campaign (about 12 million in 2024 dollars) that involved data from 200,000 consumers, including 2,000 one-on-one interviews as well as focus groups.

Researchers asked questions such as whether consumers would be upset if either Coke or Pepsi changed their formulas and whether they would be open to trying new versions. Results from the individual interviews were encouraging. While some Coke drinkers indicated they would be upset, some Pepsi drinkers indicated their willingness to try a new Coca-Cola product. Focus group data, however, in which a larger number of consumers were interviewed in a group setting, were more mixed. In these interviews, loyal Coke drinkers expressed greater concern than in individual interviews. (Fournier 2001)

Figure 3. A 1985 ad, promoting New Coke as better tasting
Retro AdArchives / Alamy Stock Photo

Armed with the blind taste data showing consumer preference for the reformulated New Coke, along with somewhat encouraging market research data, Coca-Cola moved forward with the launch. On April 23, 1985, consumers woke up to a front-page *New York Times* article announcing the New Coke (Figure 3). Board chairman Roberto Gouizeta remarked that the original formula remained locked in a vault at a bank in Atlanta, and after 99 years it was "never to be used again" (Schindler 1992).

At first, the product sold well, outperforming expectations. Follow-up research seemed to indicate that consumers continued to prefer the taste of New Coke to Pepsi. But some Coke drinkers were outraged by the change. The media focused intensely on these customers, showing them spitting New Coke out after trying it and dumping out the cans. Within a few months, only 30% of consumers were reporting a preference for New Coke. Flooded with angry calls and letters, Coca-Cola announced they were bringing back the original product on July 10, only 79 days after the launch of New Coke. (Schindler 1992)

The two products would continue to sell side-by-side, along with Diet Coke and the new Cherry Coke, with the addition of the word "Classic" to the original brand. By August 1985, Coke Classic was outperforming New Coke. By the following year, Coke Classic was outselling New Coke 8-1; by 1990, New Coke's market share was less than 1% (Schindler 1992). Around this time, the company rebranded the newer product as “Coke II.” They discontinued it altogether in 2002.

The Limitations of Market Research

One study published years later, which used brain-imaging technology to track where brain activity was happening when individuals sipped soft drinks, suggested that expectations may play a larger role in consumer preferences than previously thought. When test subjects did not know which beverage they were drinking, brain activity in reward centers of the brain aligned closely with what they reported liking. For example, Coke drinkers showed higher activity when drinking Coke, and Pepsi drinkers showed higher activity when drinking Pepsi. However, when people knew what they were drinking, both Pepsi and Coke drinkers showed a much wider range of brain activity in areas related to memory and emotion, in addition to the reward centers, when they were drinking Coke. (McClure et al. 2004)

The failure of New Coke reveals the ultimate power of consumers in shaping demand for products and the difficulty of accurately assessing consumer attitudes and opinions through market research.

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